

U.S. Machinery

Caterpillar Inc

Rating

Market-Perform

Price Target



1,002.00 USD



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Caterpillar: the beat goes on...

CAT put up a blowout 2Q, with \$8.17 in EPS beating street by 32% and segment profit of \$4.7B beating by 18%. Backlog grew another \$9.4B this quarter to \$72.1B, up 15% Q/Q and nearly 2x Y/Y, implying \$29B in orders and 1.5x B2B.

The Power engine keeps humming; resumed production of 10 MW nat gas recip to add another 1.5 GW to 65 GW target. The market's underlying strength suggests Power Gen growth is *still* capacity restricted. Power Gen retail sales accelerated again to +72% in 2Q (+48% in 1Q) and mgmt is now taking orders out to 2030. To further support this, mgmt announced resuming production of the PGM130, a 10 MW engine well-suited for data center prime power applications, representing an incremental 1.5 GW of capacity on top of its 65 GW target by 2030 with shipments already set to begin in 4Q. As a result, this is driving meaningful elongation in CAT's backlog with 59% of it expected to be deliverable in the NTM, compared to 69% in '25 and 76% in '24. Future conversion and improved capacity throughput are likely to remain catalysts for further upward revisions.

Construction put up an exceptionally strong 1H on easier comps and dealer restocking; as normal seasonality kicks in, this points to moderating results. Following up on 1Q's \$1.5B restock, CAT added another \$400M to Construction dealer inventories in 2Q, which disproportionately impacted volumes given the typical 2Q seasonal decline. With an expected de-stock coming in 2H to keep FY inventories flat as expected, we forecast Construction volumes slowing to HSDs in 3Q and flat in 4Q.

"Major Projects" underscores potential in rental. Major Projects is a CAT dealer-owned JV and supplemental national rental solution aimed at helping dealers capture mega projects with low risk. Dealers are unlikely to invest in fleet knowing that project presents a cliff event once complete. This is where CAT's national fleet fills the capacity gap. The benefits include **a)** greater sales into dealers to serve this underserved market, **b)** exposure to higher growth mega projects (e.g., data centers, critical infrastructure, etc.) given local markets remain weak, and **c)** it's a dealer-moat defense against the national rental houses; customers won't come to a CAT dealer for machines if they can't also get the rest of the rental equipment they need, so a complete fleet offering protects share.

Investment Implications

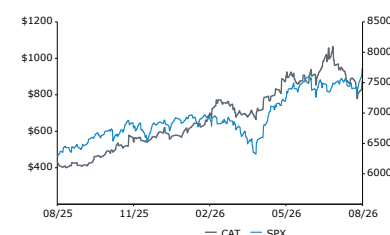
Maintain **Market-Perform** rating and PT **\$1,002** (14% potential upside).

Adjusted EPS	F25A	F26E	F27E	Financials	F25A	F26E	F27E	CAGR	Valuation Metrics	F25A	F26E	F27E
CAT (USD)	19.08	26.95	31.53	Revenues (M)	67,590	79,257	88,325	--	Adjusted P/E (x)	45.9	32.5	27.8
OLD	--	25.90	31.13	EBITDA (M)	14,860	19,195	22,146	--	Reported P/E (x)	46.6	33.1	27.8

Source: Bloomberg, Bernstein estimates and analysis.

Close Date	4 Aug 2026			
CAT Close Price (USD)	876.54			
Price Target (USD)	1,002.00			
Upside/(Downside)	14%			
52-Week Range	1,073.46/405.46			
SPX	7,736.52			
FYE	Dec			
Div Yield	0.7%			
Market Cap (USD) (M)	403,727			
EV (USD) (M)	408,471			
Performance	YTD	1M	6M	12M
Absolute (%)	53.0	(9.0)	26.7	102.1
SPX (%)	13.0	3.4	12.4	22.2
Relative (%)	40.0	(12.4)	14.3	79.9
Source: Bloomberg, Bernstein estimates and analysis.				

Price Performance, 1YR



DETAILS

EXHIBIT 1: Our Updated CAT Estimates Following 2Q Earnings

	A	A	E	E	E	E
	1Q26	2Q26	3Q26	4Q26	2026	2027
MP&E Revenue						
Old Bern	\$16,473	\$19,372	\$19,394	\$20,423	\$75,663	\$84,538
New Bern	\$16,473	\$19,581	\$19,184	\$20,089	\$75,327	\$84,180
Delta (%)	0%	1%	-1%	-2%	0%	0%
Consensus	\$16,473	\$18,127	\$18,559	\$20,026	\$73,676	\$82,001
New vs Consensus	0%	8%	3%	0%	2%	3%
Adj. Operating Profit						
Old Bern	\$3,126	\$3,937	\$4,133	\$4,215	\$15,411	\$18,491
New Bern	\$3,126	\$4,497	\$3,890	\$3,942	\$15,455	\$18,572
Delta (%)	0%	14%	-6%	-6%	0%	0%
Consensus	\$3,126	\$3,332	\$3,556	\$3,669	\$13,683	\$15,551
New vs Consensus	0%	35%	9%	7%	13%	19%
EPS						
Old Bern	\$5.54	\$6.73	\$6.78	\$6.85	\$25.90	\$31.13
New Bern	\$5.54	\$8.17	\$6.59	\$6.65	\$26.95	\$31.53
Delta (%)	0%	21%	-3%	-3%	4%	1%
Consensus	\$5.54	\$6.17	\$6.46	\$6.68	\$24.77	\$30.51
New vs Consensus	0%	32%	2%	0%	9%	3%

Source: Company reports, Bloomberg, Bernstein estimates and analysis

APPENDIX - FINANCIAL FORECASTS

EXHIBIT 2: CAT Consolidated Income Statement

INCOME STATEMENT	1Q24	2Q24	3Q24	4Q24	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26	4Q26	1Q27	2Q27	3Q27	4Q27	2023	2024	2025	2026	2027
Total Sales & Revenue	15,799	16,689	16,106	16,215	14,249	16,569	17,640	19,132	17,415	20,543	20,184	21,115	19,360	22,870	22,507	23,589	67,060	64,809	67,590	79,257	88,325
% Y/Y	0%	-4%	-4%	-5%	-10%	-1%	10%	18%	22%	24%	14%	10%	11%	11%	12%	12%	13%	-3.4%	4.3%	17.3%	11.4%
% Q/Q	-7%	6%	-3%	1%	-12%	16%	6%	8%	-9%	18%	-2%	5%	-8%	18%	-2%	5%					
Cost of Sales	9,662	10,150	10,066	10,321	8,965	10,807	11,673	13,307	11,306	12,781	12,838	13,708	12,284	14,134	13,899	14,822	42,767	40,199	44,752	50,634	55,139
Gross Profit	6,137	6,539	6,040	5,894	5,284	5,762	5,967	5,825	6,109	7,762	7,346	7,406	7,076	8,735	8,607	8,767	24,293	24,610	22,838	28,623	33,186
% Margin	38.8%	39.2%	37.5%	36.3%	37.1%	34.8%	33.8%	30.4%	35.1%	37.8%	36.4%	35.1%	36.6%	38.2%	38.2%	37.2%	36.2%	38.0%	33.8%	36.1%	37.6%
SG&A	1,577	1,652	1,669	1,769	1,593	1,694	1,822	1,876	1,816	2,018	2,014	2,102	1,981	2,319	2,388	2,394	6,371	6,667	6,985	7,950	8,982
% of sales	10.0%	9.9%	10.4%	10.9%	11.2%	10.2%	10.3%	9.8%	10.4%	9.8%	10.0%	10.0%	10.2%	10.1%	10.2%	10.1%	9.5%	10.3%	10.3%	10.0%	10.2%
R&D	520	535	533	519	480	551	555	562	537	616	604	632	598	710	697	731	2,108	2,107	2,148	2,388	2,736
% of sales	3.29%	3.21%	3.31%	3.20%	3.37%	3.33%	3.15%	2.94%	3.08%	3.00%	2.99%	2.99%	3.09%	3.10%	3.10%	3.10%	3.1%	3.3%	3.2%	3.0%	3.1%
Interest Expense - Finance Products	298	314	336	338	326	336	346	351	345	362	396	417	438	459	479	500	1,030	1,286	1,359	1,520	1,876
Other Expenses/(Income)	223	556	355	344	306	321	190	377	326	471	443	313	280	330	230	180	1,818	1,478	1,194	1,553	1,020
Reported Operating Income	3,519	3,482	3,147	2,924	2,579	2,860	3,054	2,659	3,085	4,295	3,890	3,942	3,780	4,918	4,913	4,961	12,966	13,072	11,152	15,212	16,572
% Margin	22.3%	20.9%	19.5%	18.0%	18.1%	17.3%	17.3%	13.9%	17.7%	20.9%	19.3%	18.7%	19.5%	21.5%	21.8%	21.0%	19.3%	20.2%	16.5%	19.2%	21.0%
% Incremental Margin	-1251%	27%	43%	25%	61%	518%	-6%	-9%	16%	36%	33%	65%	36%	27%	44%	41%	66%	-5%	-69%	35%	37%
Exceptional Items	-6	258	70	37	32	56	35	320	41	202	0	0	0	0	0	0	780	359	443	243	0
Adjusted Operating Income	3,513	3,740	3,217	2,961	2,611	2,916	3,089	2,979	3,126	4,497	3,890	3,942	3,780	4,918	4,913	4,961	13,746	13,431	11,595	15,455	18,572
% Margin	22.2%	22.4%	20.0%	18.3%	18.3%	17.6%	17.5%	15.6%	18.0%	21.9%	19.3%	18.7%	19.5%	21.5%	21.8%	21.0%	20.5%	20.7%	17.2%	19.5%	21.0%
% Incremental Margin	-271%	-9%	39%	31%	58%	687%	-8%	1%	16%	40%	31%	49%	34%	18%	44%	41%	61%	14%	-66%	33%	34%
Other Expenses (Income)	-156	-155	-76	-426	-107	-84	-208	-493	-260	-398	-272	-222	-222	-222	-222	-222	-595	-813	-892	-1,152	-888
EBIT	3,675	3,637	3,223	3,350	2,686	2,944	3,262	3,152	3,345	4,693	4,162	4,164	4,002	5,140	5,135	5,183	13,561	13,885	12,044	16,364	19,460
% Margin	23.3%	21.8%	20.0%	20.7%	18.9%	17.8%	18.5%	16.5%	19.2%	22.8%	20.6%	19.7%	20.7%	22.5%	22.8%	22.0%	20.2%	21.4%	17.8%	20.6%	22.0%
Interest Expense	143	137	125	107	116	126	133	127	134	135	134	134	144	144	144	144	511	512	502	537	575
Pretax Income	3,532	3,500	3,098	3,243	2,570	2,818	3,129	3,025	3,211	4,558	4,028	4,030	3,859	4,996	4,991	5,040	13,050	13,373	11,542	15,827	18,886
Taxes	688	836	642	463	574	646	836	712	670	1,055	990	972	936	1,219	1,194	1,193	2,781	2,629	2,768	3,687	4,542
% Rate	19%	24%	21%	14%	22%	23%	27%	24%	21%	23%	25%	24%	24%	24%	24%	24%	21.3%	19.7%	24.0%	23.3%	24.0%
Post-Tax Income	2,844	2,664	2,456	2,780	1,996	2,172	2,293	2,313	2,541	3,503	3,037	3,058	2,922	3,778	3,797	3,846	10,269	10,744	8,774	12,140	14,344
Equity In Unconsol. Affiliates	10	17	7	10	7	7	8	87	7	90	0	0	0	0	0	0	66	44	109	97	0
Minority Interest	-2	0	-1	-1	0	0	-1	-1	-1	0	0	0	0	1	1	1	0	-4	-2	-1	3
Earnings From Continuing Ops	2,856	2,681	2,464	2,791	2,003	2,179	2,302	2,401	2,549	3,593	3,037	3,058	2,922	3,777	3,796	3,845	10,335	10,792	8,885	12,238	14,341
Disc Ops	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Other	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
GAAP Net Income	2,856	2,681	2,464	2,791	2,003	2,179	2,302	2,401	2,549	3,593	3,037	3,058	2,922	3,777	3,796	3,845	10,335	10,792	8,885	12,238	14,341
Non-GAAP Adjustments	-74	252	54	-308	25	47	28	20	32	187	0	0	0	0	0	0	555	-76	120	219	0
Non-GAAP Net Income	2,782	2,933	2,518	2,483	2,028	2,226	2,330	2,421	2,581	3,780	3,037	3,058	2,922	3,777	3,796	3,845	10,890	10,716	9,005	12,457	14,341
Non-GAAP Adjustments	-0.15	0.51	0.11	-0.64	0.05	0.10	0.06	0.04	0.07	0.40	0.00	0.00	0.00	0.00	0.00	0.00	1.07	-0.16	0.26	0.47	0.00
Non-GAAP EPS	5.60	5.99	5.17	5.14	4.25	4.72	4.95	5.16	5.34	8.17	6.59	6.65	6.38	8.28	8.36	8.50	21.21	21.91	19.08	26.95	31.53
% Y/Y	14%	8%	-6%	-2%	-24%	-21%	-4%	0%	30%	73%	33%	29%	15%	1%	27%	28%	53%	3%	-13%	41%	17%

Source: Company reports, Bloomberg, Bernstein estimates and analysis

EXHIBIT 3: CAT Segment Summary

SEGMENT SUMMARY	1Q24	2Q24	3Q24	4Q24	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26	4Q26	1Q27	2Q27	3Q27	4Q27	2023	2024	2025	2026	2027
Sales																					
Construction Industries	6,417	6,656	6,312	5,959	5,144	6,123	6,687	6,846	7,102	8,261	7,471	6,823	7,801	9,081	8,207	7,474	27,294	25,344	24,800	29,657	32,562
Resource Industries	3,907	3,937	3,723	3,764	3,586	3,789	3,915	4,291	3,710	4,568	4,470	4,698	3,970	4,888	4,783	5,027	13,244	15,331	15,581	17,446	18,668
Power & Energy	4,697	5,287	5,236	5,236	4,654	5,794	6,181	7,118	5,713	6,795	7,292	8,615	6,662	7,924	8,504	10,047	23,355	20,456	23,747	28,415	33,137
All Other Segments	12	8	8	8	11	13	10	12	12	15	11	13	13	16	11	13	131	36	46	50	53
Segment Total	15,033	15,888	15,279	14,967	13,395	15,719	16,793	18,267	16,537	19,639	19,244	20,149	18,446	21,908	21,505	22,560	64,024	61,167	64,174	75,569	84,420
MP&E	14,960	15,840	15,231	15,332	13,378	15,674	16,728	18,201	16,473	19,581	19,184	20,089	18,386	21,848	21,445	22,500	63,869	61,363	63,981	75,327	84,180
FinCo	1,029	1,043	1,078	1,062	1,048	1,081	1,115	1,138	1,143	1,188	1,227	1,252	1,200	1,247	1,288	1,314	3,927	4,212	4,382	4,809	5,050
Consolidated	15,799	16,689	16,106	16,215	14,249	16,569	17,640	19,132	17,415	20,543	20,184	21,115	19,360	22,870	22,507	23,589	67,060	64,809	67,590	79,257	88,325
% Y/Y - Sales																					
Construction Industries	-4.3%	-6.5%	-9.6%	-8.2%	-19.8%	-8.0%	5.9%	14.9%	38.1%	34.9%	11.7%	-0.3%	9.8%	9.9%	9.8%	9.5%	8.6%	-7.1%	-2.1%	19.6%	9.8%
Resource Industries	16.3%	13.4%	14.2%	19.4%	-8.2%	-3.8%	5.2%	14.0%	3.5%	20.6%	14.2%	9.5%	7.0%	7.0%	7.0%	7.0%	10.2%	15.8%	1.6%	12.0%	7.0%
Power & Energy	-7.1%	-11.2%	-9.0%	-20.5%	-0.9%	9.6%	18.0%	35.9%	22.8%	17.3%	18.0%	21.0%	16.6%	16.6%	16.6%	16.6%	20.8%	-12.4%	16.1%	19.7%	16.6%
All Other Segments	-65.7%	-76.5%	-73.3%	-75.0%	-8.3%	62.5%	25.0%	50.0%	9.1%	15.4%	5.0%	5.0%	5.0%	5.0%	5.0%	5.0%	-9.7%	-72.5%	27.8%	8.9%	5.0%
Segment Total	-0.8%	-4.2%	-4.7%	-8.0%	-10.9%	-1.1%	9.9%	22.0%	23.5%	24.9%	14.6%	10.3%	11.5%	11.6%	11.7%	12.0%	13.1%	-4.5%	4.9%	17.8%	11.7%
MP&E	-0.9%	-4.3%	-4.7%	-8.0%	-10.6%	-1.0%	9.8%	18.7%	23.1%	24.9%	14.7%	10.4%	11.6%	11.6%	11.8%	12.0%	12.9%	-3.9%	4.3%	17.7%	11.8%
FinCo	10.1%	9.2%	6.0%	4.1%	1.8%	3.6%	3.4%	7.2%	9.1%	9.9%	10.0%	10.0%	5.0%	5.0%	5.0%	5.0%	16.3%	7.3%	4.0%	9.8%	5.0%
Consolidated	-0.4%	-3.6%	-4.2%	-5.0%	-9.8%	-0.7%	9.5%	18.0%	22.2%	24.0%	14.4%	10.4%	11.2%	11.3%	11.5%	11.7%	12.8%	-3.4%	4.3%	17.3%	11.4%
Operating Income																					
Construction Industries	1,764	1,741	1,486	1,174	1,024	1,244	1,377	1,030	1,535	1,947	1,573	1,173	1,640	2,111	1,941	1,531	6,975	6,165	4,675	6,228	7,223
Resource Industries	752	763	653	508	623	563	544	421	378	693	683	557	560	725	683	557	2,834	2,676	2,151	2,311	2,525
Power & Energy	1,277	1,481	1,400	1,440	1,288	1,554	1,633	1,781	1,450	2,027	2,000	2,425	1,901	2,292	2,393	2,904	4,936	5,598	6,256	7,901	9,491
All Other Segments	24	21	-13	16	-21	-5	-6	17	-43	0	-6	17	-43	0	-6	17	18	48	-15	-32	-31
Segment Total	3,817	4,006	3,526	3,138	2,914	3,356	3,548	3,249	3,320	4,667	4,250	4,172	4,058	5,128	5,011	5,010	14,763	14,487	13,067	16,409	19,207
MP&E	3,402	3,662	3,099	2,940	2,515	2,790	3,002	2,573	2,999	4,214	3,800	3,722	3,658	4,828	4,711	4,710	12,659	13,103	10,880	14,735	17,907
FinCo	268	-16	216	137	201	212	203	248	237	263	271	271	198	216	227	228	923	605	864	1,042	869
Consolidated	3,519	3,482	3,147	2,924	2,579	2,860	3,054	2,659	3,085	4,295	3,890	3,942	3,780	4,918	4,913	4,961	12,966	13,072	11,152	15,212	18,572
Operating Margins																					
Construction Industries	27.5%	26.2%	23.5%	19.7%	19.9%	20.3%	20.6%	15.0%	21.6%	23.6%	21.1%	17.2%	21.0%	23.2%	23.6%	20.5%	25.6%	24.3%	18.9%	21.0%	22.2%
Resource Industries	19.2%	19.4%	17.5%	13.5%	17.4%	14.9%	13.9%	9.8%	10.2%	15.2%	15.3%	11.9%	14.1%	14.8%	14.3%	11.1%	21.4%	17.5%	13.8%	13.2%	13.5%
Power & Energy	27.2%	28.0%	26.7%	27.5%	27.7%	26.8%	26.4%	25.0%	25.4%	29.8%	27.4%	28.1%	28.5%	28.9%	28.1%	28.9%	21.1%	27.4%	26.3%	27.8%	28.6%
All Other Segments	200.0%	262.5%	-162.5%	200.0%	-190.9%	-38.5%	-60.0%	141.7%	-358.3%	0.0%	-56.2%	135.9%	-340.3%	1.0%	-52.6%	130.4%	13.7%	133.3%	-32.6%	-63.4%	-59.5%
Segment Total	25.4%	25.2%	23.1%	21.0%	21.8%	21.3%	21.1%	17.8%	20.1%	23.8%	22.1%	20.7%	22.0%	23.4%	23.3%	22.2%	23.1%	23.7%	20.4%	21.7%	22.8%
MP&E	22.7%	23.1%	20.3%	19.2%	18.8%	17.8%	17.9%	14.1%	18.2%	21.5%	19.8%	18.5%	19.9%	22.1%	22.0%	20.9%	19.8%	21.4%	17.0%	19.6%	21.3%
FinCo	26.0%	-1.5%	20.0%	12.9%	19.2%	19.6%	18.2%	21.8%	20.7%	22.1%	22.1%	21.6%	16.5%	17.3%	17.0%	17.3%	23.5%	14.4%	19.7%	21.7%	17.2%
Consolidated	22.3%	20.9%	19.5%	18.0%	18.1%	17.3%	17.3%	13.9%	17.7%	20.9%	19.3%	18.7%	19.5%	21.5%	21.8%	21.0%	19.3%	20.2%	16.5%	19.2%	21.0%
Incremental Margins																					
Construction Industries	9%	13%	54%	68%	58%	93%	-29%	-16%	26%	33%	25%	-628%	15%	20%	50%	55%	103%	42%	274%	32%	34%
Resource Industries	-2%	5%	-17%	-15%	40%	135%	-57%	-17%	-198%	17%	25%	33%	70%	10%	0%	0%	82%	-8%	-210%	9%	18%
Power & Energy	-61%	-32%	-42%	-1%	-26%	14%	25%	18%	15%	47%	33%	43%	48%	24%	33%	34%	40%	-23%	20%	35%	34%
All Other Segments	-57%	-42%	155%	-167%	4500%	-520%	350%	25%	-2200%	250%	20%	20%	20%	20%	20%	20%	-207%	-32%	-630%	-409%	20%
Segment Total	-163%	-26%	34%	31%	55%	385%	1%	3%	13%	33%	29%	49%	39%	20%	34%	35%	66%	10%	-47%	29%	32%
MP&E	-567%	-16%	39%	18%	56%	525%	-6%	-13%	16%	36%	32%	61%	34%	27%	40%	41%	72%	-18%	-85%	34%	36%
FinCo	12%	-310%	-8%	-121%	-353%	600%	-35%	146%	38%	48%	61%	20%	-67%	-80%	-72%	-69%	0%	-112%	152%	42%	-72%
Consolidated	-1251%	27%	43%	25%	61%	518%	-6%	-9%	16%	36%	33%	65%	36%	27%	44%	41%	66%	-5%	-69%	35%	37%
Backlog																					
% Y/Y	-8%	-7%	2%	9%	25%	31%	39%	71%	79%	92%	93%	63%	44%	33%	26%	20%	-10%	9%	71%	63%	20%
% Q/Q	1%	3%	0%	5%	17%	7%	6%	29%	22%	15%	6%	9%	8%	6%	1%	3%	15,360	16,540	15,331	16,632	18,378
Orders	15,360	16,540	15,331	16,632	18,378	18,174	19,028	29,601	27,973	28,981	23,785	26,641	25,176	27,532	22,596	25,309	15,637	16,632	29,601	26,641	25,309
% Y/Y	2%	-2%	15%	6%	20%	10%	24%	78%	52%	59%	25%	-10%	-10%	-5%	-5%	-5%	-4%	6%	78%	-10%	-5%
% Q/Q	-2%	8%	-7%	8%	10%	-1%	5%	56%	-5%	4%	-18%	12%	-5%	9%	-18%	12%					

Source: Company reports, Bloomberg, Bernstein estimates and analysis

BERNSTEIN TICKER TABLE

Ticker	Rating	Cur	4 Aug 2026		TTM Rel. Perf.	Adjusted EPS				Adjusted P/E (x)		
			Closing Price	Price Target		Cur	2025A	2026E	2027E	2025A	2026E	2027E
CAT (Caterpillar)	M	USD	876.54	1,002.00	79.9%	USD	19.08	26.95	31.53	45.9	32.5	27.8
OLD								25.90	31.13			
SPX			7,736.52									

ESTIMATE CHANGE IN BOLD

O - Outperform, M - Market-Perform, U - Underperform, NR - Not Rated, CS - Coverage Suspended

Source: Bloomberg, Bernstein estimates and analysis.

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VALUATION METHODOLOGY**Caterpillar Inc**

Our \$1,002 price target is based on a 31x P/E multiple to our 2027 EPS, which is appropriate due to (a) where we are in the current cycle and (b) the relative distance between next year's earnings and the company's normalized earnings power.

RISKS**Caterpillar Inc**

Upside/Downside risks include the following: 1) a better/worse than expected cyclical recovery; 2) faster/slower rebound in the oil & gas end markets; 3) stronger/weaker recovery in the construction end markets; 4) better/worse cost structure management; 5) more/less aggressive deployment of balance sheet.

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- Outperform: Stock will outpace the market index by more than 15 pp
- Market-Perform: Stock will perform in line with the market index to within +/- 15 pp
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The Autonomous brand rates common stocks as indicated below. As our benchmarks we use the Bloomberg Europe 600 Financials Price Return Index (E600BK) and Bloomberg Europe Dev Mkt Financials Large and Mid Cap Price Ret Index EUR (EDMFI) index for developed European banks and Payments, the Bloomberg Europe 600 Insurance Price Return Index (E600IN) for European insurers, the S&P 500 and S&P Financials for US banks and Payments coverage, S5LIFE for US Insurance, the S&P Insurance Select Industry (SPSIINS) for US Non-Life Insurers coverage, the Bloomberg Emerging Markets Financials Large, Mid and Small Cap Price Return Index (EMLSF) for emerging market banks and insurers and Payments, and the Bloomberg Japan Financials Large & Mid Cap Price Return Index (JPFILM) for Japanese Financials. Ratings are stated relative to the sector (not the market).

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- Underperform (UP): Stock will trail the performance of the relevant index by more than 10 pp

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Those denoted as 'Feature' (e.g., Feature Outperform FOP, Feature Under Outperform FUP) are our core ideas.

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- Neutral (N): The total return of the preferred instrument is expected to perform in line with preferred securities of other issuers operating in similar sectors or rating categories over the next six months.
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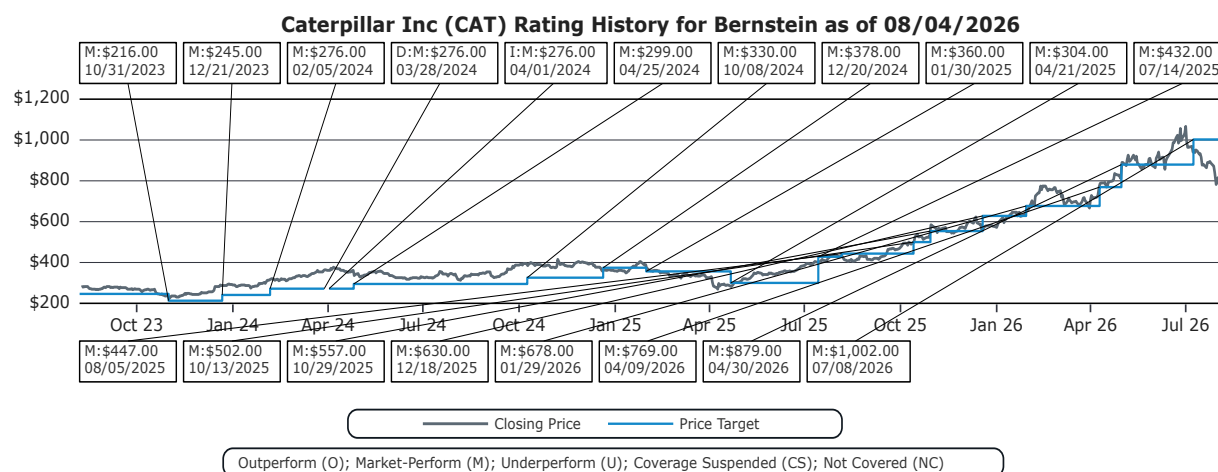
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Outperform	BUY	51.2%	15.3%
Market-Perform (Bernstein Brand) Neutral (Autonomous Brand)	HOLD	35.8%	16.2%
Underperform	SELL	13.1%	13.6%

* These figures represent the percentage of companies within each equity rating category for which affiliates of Bernstein have provided investment banking services within the previous 12 months.
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